

BROOKINGS

COMMENTARY

Digital entrepreneurship in Africa

Afua Osei

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“Africa’s digital entrepreneurship future is ours to shape. Despite the challenges, African youth are primed to ascend the digital value chain.”



The 50 honorees on the 2023 Forbes Top Creator List of social media creators, influencers, vloggers, and entrepreneurs generated an estimated USD \$700 million in earnings—a figure close to 30% of the Central African Republic GDP.¹ Not only are the creators themselves benefitting, but their countries are capturing significant economic benefits, with the digital economy contributing “10.3% of U.S. gross domestic product, \$1.24 trillion of compensation, and 8.0 million jobs.”²

Africa’s youth population has grown up in the middle of the digital and technological transformation watching global creators take over the internet, and since they were born, they’ve been told that their continent is rising. However, when they look around, more than 30% of their peers are unemployed, another 30% are underemployed, and millions continue to enter the workforce with little sustainable employment prospects, according to the African Development Bank.³ The outlook is especially tough for millions of young women in sub-Saharan Africa, which has the world’s largest gender

digital divide. Women in this region are 37% less likely to have steady access to digital technology and the economic benefits that come with it.⁴

In the early 2010s, global tech companies poured into Africa with skills development programs to teach young Africans the basics of how to utilize their platforms and identify simple ways to get their businesses online. Grow with Google and Meta's She Means Business program were just a few of the programs that spread across the continent through partnerships with policy bodies such as the African Union, South African Department of Small Business Development, and the MTN Foundation.

Over almost a decade, these programs enabled millions of young entrepreneurs to leverage global platforms for alternative income streams. In South Africa, the online travel marketplace Airbnb catalyzed the creation of nearly 50,000 jobs economywide in 2022—with women serving as 64% of hosts—injecting USD \$1.2 billion into the country's macroeconomic growth.⁵

While marketplaces and social media networks created an initial foundation for African entrepreneurs to build upon, as we shift our focus to 2024 and beyond, there continues to be formidable challenges on the global stage. Notably, platforms like PayPal restrict transactions in certain African countries, such as Ethiopia and Nigeria, permitting money to only be sent but not received. In Ghana, entrepreneurs are not even eligible for account openings, limiting their participation in the global digital economy.⁶

Similar to supply chains all across Africa, for the digital economy, young African entrepreneurs are ready to move up the value chain. To capture greater value in the digital economy, here are three recommendations for African entrepreneurs to consider:

- **Double down on exporting African culture:** The next generation of African economies will go beyond natural resources such as agriculture, minerals, and oil to power their economies. The digital ecosystem, through content and ecommerce, can play a critical role in providing employment and business opportunities across the product lines of visual arts, food and beverages, music, and fashion. The upcoming renewal of the African Growth and Opportunity Act in 2025 presents an

opportunity for African entrepreneurs to advocate for preferential trade terms and inclusion of a digital trade framework.

- **Leverage homegrown platforms:** Locally built and operated digital software tools understand the challenges of African entrepreneurs and are better positioned to help them grow and scale. Payment processor Paystack processes over 50% of all online transactions in Nigeria and has developed integrations that enable African entrepreneurs to connect with global technology platforms that previously could not service them.⁷ ANKA, an Ivorian commerce software solution, has aggregated 20,000 sellers across 45 African countries with women representing 72% of their client base.⁸ Due to their focus on helping African entrepreneurs grow and scale, they are currently DHL's largest African e-commerce exporter with nearly 10 tons shipped monthly.
- **Outsource digital talent:** The political momentum towards friendshoring, the rerouting of supply chains to politically low risk countries, presents an incredible opportunity for young African entrepreneurs.⁹ Business process outsourcing roles present a tried and tested business model for job creation and development and as the digital economy explodes, skilled back office workers are needed.

In conclusion, Africa's digital entrepreneurship future is ours to shape. Despite the challenges, African youth are primed to ascend the digital value chain. By focusing on exporting African culture, leveraging homegrown platforms, and exporting digital skills, we empower our entrepreneurs to thrive, capture global value, and drive economic growth. Africa's digital destiny relies on our unwavering commitment to innovation, resilience, and inclusive growth.

AUTHOR



Afua Osei Digital Entrepreneurship Policy Advisor and
Co-Founder - She Leads Africa X @helloafua

Footnotes

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Referenced Links

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